

Procure Space ETF

SPCX NASDAQ

Hold	\$148.78 ▲ 0.40%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.96T
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SPCX: Space ETF Coasting as SpaceX Lockup Weighs

WHAT HAPPENED

- SPCX barely moved (+0.4%) but the story underneath is loud — SpaceX (the ETF's biggest holding) dropped 3.9% on its third lockup release since IPO. Lockup release = early investors and employees who couldn't sell before are now allowed to, which floods the market with supply and pushes the price down temporarily.
- At the same time, SpaceX dropped two bombshells: a \$100B ARR (annual recurring revenue — the money they expect to keep collecting yearly) target and confirmation that the UK military has been quietly running \$6B+ in classified contracts through Starshield. That's why SPCX held up despite the lockup pressure — the fundamental story got stronger, not weaker.

WHY IT MATTERS

Here's the dot-connect: SPCX is essentially a leveraged bet on SpaceX + defense-space contracts, and both catalysts got louder overnight. The UK Starshield reveal is a huge tell — if one allied government is spending \$6B in the shadows, expect Germany, Japan, Australia, and Canada to be doing similar deals we haven't heard about yet, and those revenues flow straight to Procure Space holdings. The Starship revenue milestone "later this month" is the bigger unlock long-term — once Starship generates cash, SpaceX's valuation math changes from "cool sci-fi" to "actual business," which drags every satellite and launch peer in the ETF higher. But watch the options tape: someone paid big for puts at \$210-\$230 strikes, which means smart money is either hedging a big long position or expecting the SpaceX lockup pressure to spill into the ETF over the next few weeks.

POLICY & POLITICAL WATCH

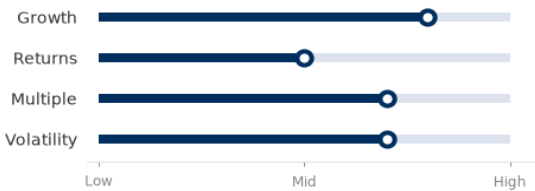
The FY2027 defense budget markup is happening right now in the Senate Armed Services Committee, and Space Force is getting a proposed 13% bump — that's the single biggest policy tailwind for SPCX because Space Force money flows directly to Rocket Lab, Planet Labs, Iridium, and the SpaceX Starshield program (all top ETF holdings). Also watch the FCC spectrum auction rules being finalized this fall — if they favor low-earth-orbit satellite operators (which the current administration signaled they will), Starlink and its competitors get cheaper access to the airwaves they need. The counter-risk: there's a bipartisan push to force SpaceX to open its Starshield network to other DoD contractors, which would compress margins if it becomes law.

IS IT EXPENSIVE?

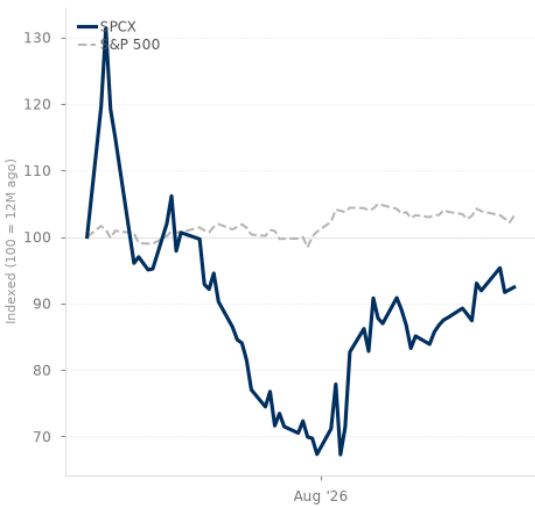
Key Data

Price (USD)	\$148.78
12M Price Target	\$165.00
Upside / (Downside)	+10.9%
Market Cap	\$1.96T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$160.00	\$150.00	\$138.00
6 Months	\$185.00	\$165.00	\$130.00
1 Year	\$220.00	\$175.00	\$120.00
2 Years	\$275.00	\$210.00	\$110.00
5 Years	\$400.00	\$290.00	\$130.00
10 Years	\$650.00	\$450.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.39%) and Industrials (+1.14%) both ripping today — Industrials matters most for SPCX because defense-space names live in that bucket and benefit from the same budget tailwinds.

COOLING OFF: Financials and Consumer Discretionary have been weak over 5 days (-2.3% and -3.1%) — suggests money is rotating OUT of consumer/rate-sensitive plays and INTO tech/defense/space thematics.

ROTATION WATCH: The 5-day pattern shows classic "risk-on but defensive" rotation — investors want growth (tech) plus government-backed revenue (industrials/defense), and SPCX sits at the exact intersection of both.

RELATED PLAY: If you like the space thesis but hate SpaceX concentration risk, ITA (defense ETF) or ROKT-style pure-play launchers give you exposure without the lockup drama.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning share as the "not-SpaceX" launcher, benefiting from Pentagon's stated goal of not depending on one provider.
- IRDM (Iridium): Locked-in government satellite communications contracts make it the boring-but-steady winner in the space narrative.

SPCX CONTEXT: SPCX is lagging its individual top holdings today because the SpaceX lockup drag is offsetting gains elsewhere in the basket — that's actually a setup, not a warning. Once the lockup supply gets absorbed (usually 2-4 weeks), the ETF typically catches up to its underlying names.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the thematic setup and policy tailwinds, but the SpaceX lockup overhang keeps me from pounding the table right now.

POSITION SIZE: 2-4% of portfolio — real upside from space commercialization, but concentrated single-name risk (SpaceX is huge in this ETF) means don't go overweight.

ENTRY POINTS: Add on pullbacks to \$140-145, especially on any macro-driven fear day. If it breaks \$135 without a fundamental reason, that's a gift.

TIME HORIZON: 18-36 months — you're waiting for Starship to become a real revenue business and for allied government space contracts to keep flowing.

WHEN TO BAIL: If Starship test flights fail repeatedly, if Space Force budget gets cut in reconciliation, or if SpaceX's private valuation marks start dropping — those are your exit signals.

HEDGING: Simplest hedge is owning ITA (defense ETF) alongside — when SpaceX-specific news drags SPCX, ITA usually holds up because it's diversified across old-school defense primes like Lockheed and RTX.